

Accounting Journal Entries

Basics

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INSTRUCTOR

A Chartered Accountant with 20+ years of Corporate experience in the field of Finance, Accounting, Auditing, Compliance and Operational excellence. Have extensive experience in the field of Accounts Receivables, Accounts Payables, Internal Audit and Controls, SOX Compliance, Cost saving.

Aims to help individuals and businesses accomplish their goals by providing them with simple and effective learning solutions. Strongly believe upskilling team members is the key to Organization and individual success stories.

YouTube Channel : Corporate Chakravyuh

<https://www.youtube.com/channel/UC49YBGHqr8cKrTeHiNn5pVg>

Udemy learning platform :

<https://www.udemy.com/course/accounting-journal-entries-a-beginners-guide/?referralCode=2CEE666529889FE8DBB0>

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Journal Entries

- It is a record of financial transactions. All transactions are recorded in general Journal.
- Journal entries follow the double entry method of accounting
- There will always be an impact to two accounts, a debit entry and a credit entry
- The total of debit entries should match with the total of credit entries.

Journal Entries - Types

- Simple - Only two accounts are affected, one debit and one credit
- Compound - More than two accounts are affected. More than one account in debit or Credit.
- Closing - Balances closed at end of accounting period in preparation for next accounting period. Resetting the income statement accounts of revenue and expense to Zero.
- Opening - Balance brought forward from previous accounting period..

Journal Entries - Format

Ref	Journal Date	Journal Entry	Debit	Credit
####	MM/DD/YYYY	ABC Account	Debit Amount	
		To XYZ Account		Credit Amount
		(Narrative or a one line explanation for the journal)		

Journal Entries - Impact on Accounts

Type of Accounts	Examples	Increase	Decrease
Assets	Building, Machinery, Accounts Receivables, Inventory, Bank	Debit	Credit
Liabilities	Accounts Payable	Credit	Debit
Shareholder's Equity	Owners Investment	Credit	Debit
Revenue	Sales	Credit	Debit
Expenses	Rent, Power, Selling and distribution expenses	Debit	Credit

3 Golden Rules of Accounting

Real Accounts (Assets, Liabilities)	DEBIT - What Comes In CREDIT - What Goes Out
Personal Accounts (Persons like Individuals, Firms)	DEBIT - The Receiver CREDIT - The Giver
Nominal Accounts (Income, Expense, Loss, Gains)	DEBIT - All Expenses and Losses CREDIT - All Incomes and Gains

Identification of correct journal entry

Step 1 : Understand the scenario

Step 2 : Identify the Accounts impacted

Step 3 : For each account identify if it is Real, Personal or Nominal

Step 4 : Apply the 3 Golden rules of Accounting

Real Accounts (Assets, Liabilities)	DEBIT - What Comes In CREDIT - What Goes Out
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#1: Purchase of Asset for USD 1,000 from X on credit

Step 1 : Understand the scenario

Step 2 : Identify the Accounts impacted

Asset and Individual "X"

Step 3 : For each account identify if it is Real, Personal or Nominal

Asset - Real Account and Individual "X" - Personal Account

Step 4 : Apply the 3 Golden rules of Accounting

Real Accounts (Assets, Liabilities)	DEBIT - What Comes In CREDIT - What Goes Out
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Nominal Accounts (Income, Expense, Loss, Gains)	DEBIT - All Expenses and Losses CREDIT - All Incomes and Gains

Ref	Journal Date	Journal Entry	Debit	Credit
#1	MM/DD/YYYY	Asset Account	USD 1,000	
		To X Payable Account		USD 1,000
		(Being Asset purchased on Credit for USD 1,000 from X)		

#2: Cash sale of inventory for USD 1100 (original value USD 900)

Step 1 : Understand the scenario

Step 2 : Identify the Accounts impacted

Cash, Inventory and Gains.

Step 3 : For each account identify if it is Real, Personal or Nominal

Cash, Inventory - Real Account and Gains - Nominal Account

Step 4 : Apply the 3 Golden rules of Accounting

Real Accounts (Assets, Liabilities)	DEBIT - What Comes In CREDIT - What Goes Out
Personal Accounts (Persons like Individuals, Firms)	DEBIT - The Receiver CREDIT - The Giver
Nominal Accounts (Income, Expense, Loss, Gains)	DEBIT - All Expenses and Losses CREDIT - All Incomes and Gains

Ref	Journal Date	Journal Entry	Debit	Credit
# 2	MM/DD/YYYY	Cash	USD 1,100	
		To Inventory		USD 900
		To Gain on sale of inventory		USD 200
		(Being cash sale of inventory for USD 1100 with a gain of USD 200)		

Revenue

Unbilled Revenue (<i>Unbilled Receivables</i>)	DEBIT - Unbilled Revenue CREDIT - To Revenue
Billed from Unbilled Revenue	DEBIT - Accounts Receivable CREDIT - To Unbilled Revenue
Billed Revenue - Raising of an invoice (<i>Billed Receivables</i>)	DEBIT - Accounts Receivable CREDIT - To Revenue
Deferred Revenue - (<i>Advance Invoicing</i>)	DEBIT - Accounts Receivable CREDIT - To Deferred Revenue
Revenue booked from deferred revenue (in respective time periods)	DEBIT - Deferred Revenue CREDIT - To Revenue

Sales - Accounts Receivables

Goods or Services sold on credit	DEBIT - Accounts Receivable CREDIT - To Sales
Payment received from Debtor/Customer	DEBIT - Bank CREDIT - To Accounts Receivable
Early payment Discount to Customers	DEBIT - Bank DEBIT - Early payment Discount CREDIT - To Accounts Receivable
Sales Return Cancellation of an Invoice - Raise a Credit note	DEBIT - Sales CREDIT - To Accounts Receivable

Accounts Receivables - Bad Debts

Allowance for Doubtful debts	DEBIT - Bad debt expense CREDIT - To Allowance for doubtful account
AR write off to Allowance	DEBIT - Allowance for doubtful account CREDIT - To Accounts Receivable
Bad debts write off from AR (Direct Method)	DEBIT - Bad debt expense CREDIT - To Accounts Receivable
Bad debts recovered	DEBIT - Bank CREDIT - To Bad debt recovered

Accounts Receivables – Factoring

Accounts Receivables sold to factoring company (No Recourse)

DEBIT - Bank
DEBIT - Loss on sale of receivables
DEBIT - Retention amount due from factor
CREDIT - To Accounts Receivable

Accounts Receivables sold to factoring company (With Recourse)

DEBIT - Bank
DEBIT - Loss on sale of receivables
DEBIT - Retention amount due from factor
CREDIT - To Recourse liability
CREDIT - To Accounts Receivable

Purchases/ Accounts Payables

Purchase of Inventory or Asset on credit	DEBIT - Inventory/Asset CREDIT - To Vendor payable
Expenses incurred (goods or services purchased) on credit	DEBIT - Expense CREDIT - To Vendor payable
Payment to Vendor	DEBIT - Vendor payable CREDIT - To Bank
Payment to Vendor after discount	DEBIT - Vendor payable CREDIT - To Bank CREDIT - To Discount
Advance to Vendor	DEBIT - Advance to Vendor CREDIT - To Bank
Purchase of Assets against advance	DEBIT - Asset CREDIT - To Advance to Vendor

Payroll

Payroll payment	DEBIT - Payroll expense CREDIT - To Taxes payable to government CREDIT - To Bank
Payroll advance payment	DEBIT - Payroll advance CREDIT - To Bank
Payroll advance adjustment during payroll	DEBIT - Payroll expense CREDIT - To Taxes payable to government CREDIT - To Payroll advance CREDIT - To Bank

Accruals

Accrual of any expense

DEBIT - Expense

CREDIT - To expense payable

Payment to Vendor

DEBIT - Expense payable

CREDIT - To Bank

Fixed Assets

Purchase of Furniture on credit

DEBIT - Furniture

CREDIT - To Vendor Payable

Depreciation

DEBIT - Depreciation expense

CREDIT - To Accumulated Depreciation

Profit on sale of Furniture

DEBIT - Bank

DEBIT - Accumulated Depreciation

CREDIT - To Furniture

CREDIT - To Gain on sale of Furniture

Inventory

Purchase of Inventory (Raw Materials /Finished Goods)	DEBIT - Inventory (RM or FG) CREDIT - To Vendor Payable
Transfer of Raw materials for Processing	DEBIT - Work in Progress (WIP) CREDIT - To Raw Materials
Transfer of Raw materials under WIP to Finished goods	DEBIT - Inventory FG CREDIT - To Work in Progress (WIP)
Sale of Finished goods 2 Entries are passed	DEBIT - Cost of Goods Sold (COGS) CREDIT - To Inventory FG DEBIT - Accounts Receivables CREDIT - To Revenue

Abnormal Loss

Abnormal loss

DEBIT - Abnormal Loss

CREDIT - To Inventory

Amount claimed from the Insurance company

DEBIT - Insurance receivable

CREDIT - To Abnormal Loss

Amount received from Insurance company

DEBIT - Bank

CREDIT - To Insurance receivable

Prepaid Expenses

Prepaid Insurance

DEBIT - Prepaid Insurance

CREDIT - To Bank

Monthly adjustment entry for expense booking

DEBIT - Insurance Expense

CREDIT - To Prepaid Insurance

Banking

Deposit cash into Bank

DEBIT - Bank

CREDIT - To Cash

Bank charges debited by Bank

DEBIT - Bank charges

CREDIT - To Bank

Borrowing money - Bank loan

DEBIT - Bank

CREDIT - To Bank loan payable

Petty Cash

Cash paid to Petty cash

DEBIT - Petty Cash

CREDIT - To Cash

Expenses done from Petty Cash

DEBIT - Expenses

CREDIT - To Petty Cash

Intercompany

Expense booking in Parent Company	DEBIT - Intercompany expense CREDIT - To Intercompany Payable
Payment to Subsidiary	DEBIT - Intercompany Payable CREDIT - To Bank
Revenue booking in Subsidiary	DEBIT - Intercompany Receivables CREDIT - To Intercompany Revenue
Collection from Parent Company	DEBIT - Bank CREDIT - To Intercompany Receivables
Intercompany elimination in Consolidation (Parent Company books)	DEBIT - Intercompany Payable CREDIT - To Intercompany Receivables

Lease

Fixed Assets on Financial lease	DEBIT - Fixed Asset CREDIT - To Lease payable
Payment of lease obligation and interest	DEBIT - Lease payable DEBIT - Interest CREDIT - To Bank
Rental payment - Operating lease	DEBIT - Rental expense CREDIT - To Bank

Impairment

Impairment loss	DEBIT - Impairment loss CREDIT - To Accumulated impairment loss
Recovery of Asset Impairment	DEBIT - Accumulated impairment loss CREDIT - To Gain on revaluation

Goodwill

Goodwill on Acquisition

DEBIT - Assets

DEBIT - Goodwill

CREDIT - To Liabilities

CREDIT - To Bank

Amortization

Amortization expense

DEBIT - Amortization expense

CREDIT - To Accumulated Amortization

Income Tax

Income tax expense	DEBIT - Income Tax CREDIT - To Income Tax payable
Payment of Income Tax	DEBIT - Income Tax payable CREDIT - To Bank

Goods and Service Tax

Purchase - Intra - state	DEBIT - Purchase DEBIT - CGST Input Credit DEBIT - SGST Input Credit CREDIT - To Vendor Payable
Purchase - Inter- state	DEBIT - Purchase DEBIT - IGST Input Credit CREDIT - To Vendor Payable
Sales - Intra- state	DEBIT - Accounts Receivables CREDIT - To Sales CREDIT - To CGST Payable CREDIT - To SGST Payable
Sales - Inter- state	DEBIT - Accounts Receivables CREDIT - To Sales CREDIT - To IGST Payable

Deferred Tax

Income tax expense	DEBIT - Income Tax expense CREDIT - To Income tax payable
Deferred Tax Asset	DEBIT - Income Tax expense DEBIT - Deferred Tax Asset CREDIT - To Income tax payable
Deferred Tax Liability	DEBIT - Income Tax expense CREDIT - To Income tax payable CREDIT - To Deferred Tax Liability

Share Capital

Shares issued and money received subsequently	DEBIT - Share Allotment CREDIT - To Share capital DEBIT - Bank CREDIT - To Share Allotment
Shares issued at Premium	DEBIT - Bank CREDIT - To Share capital CREDIT - To Share Premium
Shares issued at Discount	DEBIT - Bank DEBIT - Share Discount CREDIT - To Share capital

Dividend

Declaration of Dividend

DEBIT - Retained Earnings

CREDIT - To Dividend Payable

Payment of Dividend

DEBIT - Dividend Payable

CREDIT - To Bank

Investment

Purchase of Investment	DEBIT - Investment CREDIT - To Bank
Sale of Investment at Profit	DEBIT - Bank CREDIT - To Investment CREDIT - To Profit and loss
Sale of investment at Loss	DEBIT - Bank DEBIT - Profit and Loss CREDIT - To Investment

Investment in Associates

Acquisition of Associate	DEBIT - Investment in Associates CREDIT - To Bank
Dividend received from Associates	DEBIT - Bank CREDIT - To Investment in Associates
Income from Investment in Associates	DEBIT - Investment in Associates CREDIT - To Income from investments
Loss on investment in Associates	DEBIT - Loss on investments CREDIT - To Investment in Associates

Capital or Owners Equity

Investment by owner	DEBIT - Bank CREDIT - To owners equity
Withdrawal by Owner	DEBIT - Owners Equity CREDIT - To Bank

Thank You

Feedback or Suggestions?



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